

AI data centres must deliver ‘community benefits’ to operate in Ontario, Lecce says - Sudbury News

Category: Ontario MPAC Shell vs. Contents & Canadian Taxation | Evidence
ID: #100

Archived: 2026-10-04 20:16

- **Original URL:** <https://www.sudbury.com/local-news/ai-data-centres-must-deliver-community-benefits-to-operate-in-ontario-lecce-says-12605554>
 - **Research Category:** Ontario MPAC Shell vs. Contents & Canadian Taxation
 - **Archival File:** 100_www_sudbury_com_local-news_ai-data-centres-must-deliver.pdf
 - **Extraction Status:** Full Web Transcript PDF
-

Source Content

EDITOR'S NOTE: This article originally appeared on The Trillium, a Village Media news source devoted to covering provincial politics at Queen's Park. Not every AI data centre will get a green light in Ontario — at least, once the province actually establishes the rules. Companies seeking access to Ontario's electricity grid will need to demonstrate “community benefits,” pay the full cost of the electricity they consume, and satisfy a broader set of provincial priorities before receiving approval, Energy Minister Stephen Lecce said Tuesday. “The bottom line is, if a data centre wants to come to Ontario, it is not your right,” Lecce said. “What I can commit to you is, if a data centre wants to enter the grid, there will be criteria set out.” But the government has yet to publicly release the criteria, despite Ontario being home to the largest share of active data centres in Canada, and with municipalities grappling with how to handle new proposals. Lecce said the Ministry of Economic Development, Job Creation and Trade will soon unveil a broader framework for digital infrastructure. “This is much bigger than power,” Lecce said. When asked if it's concerning that there is no framework available yet, Lecce emphasized that the government already took action a year ago with amendments to Bill 40, which will allow the government to deny companies grid access. “If we didn't act to amend the law, we would have not had the choice as a government to deny data centres that just don't make sense or don't add value or not in the broader interests of the province,” Lecce said. “We now have the right to say no.” Lecce outlined several conditions he said he has been discussing with Premier Doug Ford and Economic Development Minister Vic Fedeli. “We want to see community benefit and community support. We want to see the power cost paid 100 per cent borne by the company, not by everyday families and ratepayers.” But without clear rules, critics say municipalities are being forced to shoulder the burden of evaluating complex proposals on their own. Mississauga councillor Martin Reid, who tabled a motion that could lead to a one-year pause on data centre development in the city, told The Trillium Tuesday that the province is on the “right track” with regulations, but said there's currently not enough known about the impacts of mega data centres. A 226,000 square foot data centre is proposed in Reid's ward, which is in the northwestern corner of the city. The Ward 9 councillor's motion is on the agenda for Wednesday's Mississauga council meeting and, if passed, would direct staff to draft an interim control bylaw, a power given to municipalities under the Planning Act that allows cities and towns to temporarily freeze development or certain land uses. “It would be great if the province was coming faster with their guidelines, but that still wouldn't change my mind in terms of the need for interim control bylaw for

Mississauga.” Lecce said the government also wants AI data centres to meet a “data sovereignty” condition. “Making sure the data is stored in our clouds, so that we’re not beholden to a U.S. president invoking the Cloud Act and really undermining the privacy of Canadian data,” Lecce said. The Clarifying Lawful Overseas Use of Data Act is a U.S. law passed in 2018 that could allow American officials to force digital data companies to disclose customer communications and records even if they are held outside the United States. Following the election of U.S. President Donald Trump, citizen groups have raised the alarm that the use of the law by American officials could mean an erosion of Canadian sovereignty and fundamental rights. Recent analysis from York University researchers Alexander Carlo and Lyndsey Rolheiser indicates that a vast majority of large-scale data centre facilities in the pipeline for Canada are owned and financed by companies headquartered in the United States. Smaller active and proposed data centres also have a significant U.S. ownership footprint, the study found. “While our data do not directly measure control over the data stored or processed within these facilities, the geographic distribution of providers suggests that a substantial share of the infrastructure supporting Canada’s digital economy, particularly among large future projects, is operated by firms headquartered outside the country,” Carlo and Rolheiser wrote in the July 24 analysis. The Trillium asked the Independent Electricity System Operator (IESO), the provincial agency responsible for operating Ontario’s electricity grid, how many AI data centre connection requests it is currently considering, how much electricity capacity those projects would require, and what criteria it uses to prioritize applications. Although the IESO initially said it was preparing a response, it did not answer those questions before publication. Hydro One CEO Megan Telford told The Trillium they are relying on the province to determine which AI data centres should be allowed access to Ontario’s electricity grid, describing the projects as part of a diverse and evolving industry that requires careful oversight. “We take guidance from the government about who should be connected. We follow the law, and so we’re not the ones making the decision about who connects,” Telford said. She acknowledged public concerns surrounding the rapid growth of the centres, but cautioned against viewing every proposal the same way. “Data centres can do great things,” she said. “There’s also data centres that obviously we wouldn’t want in the province. Despite the enormous electricity demands, Telford said Ontario is planning years in advance to ensure the grid can support future growth. “We need to be investing in infrastructure so that we don’t run into a situation where there’s not enough power,” she said, pointing to new transmission projects being built across the province. “What we don’t want is to have a quality business that wants to relocate in Ontario and say we have to turn someone down.” Asked whether the government has been too slow to release its AI data centre framework as municipalities wrestle with proposals, Telford said it’s a “super complex topic.” She said Ontario has the advantage of learning from the United States. “The world is grappling with what to do with data centres,” she said. “It’s the government’s mandate about how fast they go.”